Is Selling Solution Better Than Selling Products?

Deciding whether to sell a product or offer it as a service depends on what the end customer wants. But there are some basics that you need to keep in mind before taking a call. Here are some of them

S.A. Srinivasa Moorthy

Hardware companies' business model used to be to sell a product to the customer for a certain price and make profit. And thereafter make money by servicing the product. This led to a category of products that could be thrown away after use or when these became faulty. But with pressure on reducing electronic waste there is now huge opposition to such use-and-throw products. Through directives like WEEE (Waste from Electrical and Electronic Equipment), manufacturers are being held responsible for the safe disposal or recycling of their products.

Of late, in many countries, Right to Repair is gaining momentum and product manufacturers are expected to allow users to repair the product if it goes bad. This is especially true in the case of mobile phones. Second, products which have long life need to be supported throughout their life. These products typically are large equipment.

These changes are putting pressure on product designers to find ways of recouping their investment. With the product-life reduced to less than a year, making money through pure play-box selling becomes difficult. With these challenges companies are finding new ways of making profit from their hardware sales.

The best example is the business model adopted by Apple in the US market. With their phones costing $800+ not many customers replace their phones frequently. So, Apple has bundled their phones with telecom services as monthly subscription with a lock-in period. This enables both Apple and the telecom service providers to make money and retain the customers.

Why this is critical?

Let us look at Fig. 1, which shows how the business works in a pure product selling model and how the revenues add up. As you can see, the brown boxes are for revenues that are collected by the manufacturers and sellers, leaving the designer high and dry.

Fig. 2 shows the model in which the hardware acts more as a vehicle for revenue. The subscription based business in this case reduces the overhead on solution and also restricts the cost to manufacture, allowing flexibility in the pricing model. This essentially

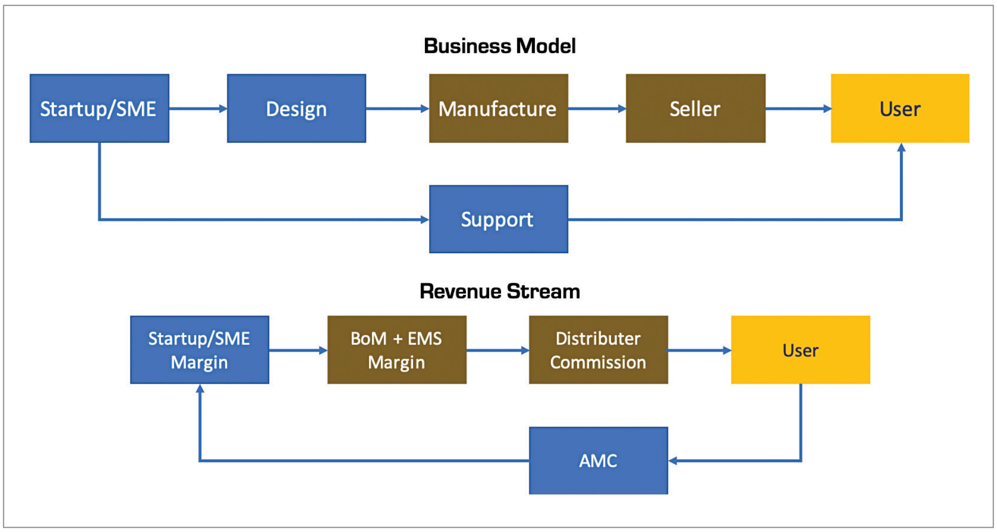

Fig. 1: How the business works in a pure product selling model and how the revenues add up